# United States (: )

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**THE ONE-LINE VERDICT**

A flat headline hides a sharp mix shift: August 2026 US commercial GGR slipped 0.6% YoY to $6.48bn as sports betting revenue fell 15.6% to $1.00bn on a 160bp hold collapse (9.2% vs 10.8%) and handle that is now shrinking in every month without a World Cup, while iGaming (+12.3% to $1.03bn) out-earned sportsbooks for the month and retail casino held steady (+0.9%). For an operator, the regulated US sportsbook is now a share-and-tax fight against an untaxed, federally-sheltered prediction-market competitor whose legal status is heading to the Supreme Court; iGaming remains the growth vertical but is locked in seven states with no new launches in 2026.

| COMMERCIAL GGR (AUG-26) | SPORTS BETTING GGR | SPORTS BETTING HANDLE | IGAMING GGR (7 STATES) | TRADITIONAL CASINO GGR | STATE GAMING TAX (AGA-COMPILED) |
|---|---|---|---|---|---|
| **$6.48bn** | **$1.00bn** | **$10.89bn** | **$1.03bn** | **$4.44bn** | **$1.46bn** |
| -0.6% YoY; YTD $53.84bn +5.4% | -15.6% YoY; hold 9.2% vs 10.8% | -0.7% YoY; -6.1% MoM | +12.3% YoY; YTD $8.11bn +17.4% | +0.9% YoY (slots +1.0%, tables +2.1%) | -1.5% YoY; sports betting tax -14.0% |

## 1 EXECUTIVE SUMMARY

- **Headline: first YoY decline of 2026.** AGA's Commercial Gaming Revenue Tracker (released 21 Oct 2026, compiled from state regulator reports across 38 commercial jurisdictions) puts August 2026 commercial GGR at $6.48bn, -0.6% YoY, versus +8.6% in July (World Cup) and a record $7.06bn in May. Oklahoma had not reported July/August, so a small upward revision is possible.
- **Sports betting is the entire drag.** Sportsbook GGR fell 15.6% to $1.00bn on handle of $10.89bn (-0.7%); national hold dropped to 9.2% from 10.8%. Roughly 160bp of hold compression explains ~$175m of the ~$185m YoY revenue shortfall — this is a margin print, not yet a demand collapse, but handle is the structural worry.
- **Handle has shrunk in every non-World-Cup month since December 2025.** AGA states explicitly that outside June–July (World Cup; July handle +31.9% to $11.60bn) handle has been down YoY since Dec-25, blaming (i) sports event contracts on CFTC-registered prediction markets and (ii) a later college-football start. State data corroborate: New York mobile handle -15.2% to $1.73bn (flattered base from a single Fanatics whale in Aug-25), New Jersey sports revenue -25.0% to $61.4m, Pennsylvania -19.9% to $39.4m, Michigan AGR -29.3%.
- **iGaming now out-earns sports betting in a month.** Online casino GGR rose 12.3% to $1.03bn (YTD $8.11bn, +17.4%) across only seven states (NJ, PA, MI, CT, WV, DE, RI). Growth is decelerating (+15.7% July, +27.6% CY2025) with 'no new markets coming online'; Maine is the only pending launch (AGA expected late 2026; delay risk flagged by trade press).
- **Retail casino is stable, not growing.** Traditional slot and table GGR +0.9% to $4.44bn (slots $3.25bn +1.0%; tables $885.9m +2.1%, helped by Resorts World NYC's expansion). Nevada statewide win +3.1% to $1.27bn with the Strip flat (+0.7% to $684.1m) and Las Vegas visitation -4.3% to 3.0m; Pennsylvania retail tables -18.1%; New Jersey total gaming revenue -4.1%.
- **Online penetration: ~31% of August GGR, 34.5% in CY2025.** iGaming plus sports betting (96.5% of which was online in 2025) totalled $2.03bn in August; AGA's CY2025 tracker put online at 34.5% of the $78.72bn total (30% in 2024). In 12 states the majority of commercial revenue is now online; in NJ, PA and MI iGaming exceeds brick-and-mortar.
- **Tax take fell with sportsbook margins.** Regulated gaming generated $1.46bn of state gaming tax in August (-1.5%); sports betting tax -14.0%. Implied blended take ~22.5% of GGR. CY2025 direct gaming taxes were $17.86bn (+12.3%) per State of the States 2026 — note AGA's Feb-2026 tracker cited $18.09bn (+15.1%); the gap is a definitional/revision difference we could not reconcile.
- **Tax regime: state GGR-based, wide dispersion, ratcheting up.** Online sports betting GGR tax runs from 6.75% (NV, IA) to 51% (NY); Illinois layers a $0.25/$0.50 per-wager surcharge on a 20–40% graduated rate; New Jersey lifted both online casino and online sports to 19.75% (from 15%/13%) from 1 Jul 2025; Louisiana 21.5% online (from 15%); Maryland 20% online (from 15%). Ohio and Michigan rejected hikes. Federal excise of 0.25% of handle plus $50 per sportsbook employee applies on top. Pennsylvania's iGaming effective tax was ~45.6% in FY2025/26 ($1.34bn on $2.93bn).
- **Player-level federal tax hit from 2026.** The One Big Beautiful Bill Act (signed 4 Jul 2025) caps deductible gambling losses at 90% of losses from tax year 2026, creating phantom taxable income for break-even bettors; the FAIR BET Act to restore 100% has stalled in the House. This disproportionately affects high-volume sharp/VIP customers and is an incremental headwind to regulated handle.
- **Prediction markets are the structural competitor — untaxed and unlicensed at state level.** Kalshi's August notional volume was $37.17bn (-7.3% MoM); Kalshi + Polymarket (incl. Polymarket US) $45.33bn (-14.5% MoM, first fall in a year, after a $50.59bn July record); sports were ~83% of Kalshi's July volume. Volume is not handle-equivalent (notional, two-sided, high-frequency), but the order of magnitude vs $10.89bn regulated handle is the point. AGA estimates >$1.56bn of state gaming tax foregone since Jan-2025 (up from ~$0.5bn cited in Feb-2026).
- **Legal status is now a circuit split headed to SCOTUS.** Third Circuit (6 Apr 2026, 2–1, KalshiEX v. Flaherty) held sports event contracts are likely 'swaps' under the CEA with CFTC exclusive jurisdiction pre-empting New Jersey gambling law (preliminary-injunction stage). Ninth Circuit (28 Aug 2026, 3–0) ruled the opposite for Nevada, refusing to enjoin the Nevada GCB. Cert petitions were filed 2–11 Sep 2026 (New Jersey, Robinhood, reportedly Crypto.com); none granted as of this report. CFTC event-contract rulemaking (comments closed 30 Apr 2026) remains pending.
- **Congress is moving toward state primacy.** Senate Commerce Chair Ted Cruz plans to file, after the 3 Nov midterms, a bill barring prediction markets from listing gambling-linked (incl. sports) event contracts without state or tribal authorisation (Bloomberg Law, 16 Oct 2026). If enacted it would re-fence the regulated sportsbook market — the single largest swing factor for 2027 handle.

- **Operator landscape: a duopoly under pressure at the top.** In New York (the largest market, 8 mobile licensees, 51% tax) DraftKings led handle for a second month ($614.0m, 9.2% hold, $56.3m GGR) ahead of FanDuel ($599.6m, 10.7% hold, state-high $64.0m GGR), then Fanatics ($213.2m), BetMGM (~$120m), Caesars ($112.4m), with BetRivers, theScore Bet and Bally Bet trailing. Nationwide share data were not disclosed in the release [unverified].
- **Licensing is state-by-state and tethered to land-based assets.** Post-PASPA (Murphy v. NCAA, 2018) each state legislates its own regime; most online skins are tied to casino/racetrack/tribal licences or capped mobile licences (e.g., New York's 9-licence model), with suitability vetting, in-state servers/geolocation and multi-million-dollar fees and renewals. 493 commercial casino locations operate in 27 states; 38 jurisdictions have commercial casinos and/or sports betting; tribal gaming (IGRA) sits outside these AGA totals.
- **Untaxed grey verticals are the AGA's enforcement agenda.** The release names three channels that pay no state gaming tax — skill machines, 'sweepstakes casinos' and prediction-market sports contracts. Several states enacted sweepstakes prohibitions in 2025–26 [state list not re-verified this cycle]; enforcement intensity is rising and is a tailwind for licensed iGaming in the states that have it.
- **Payments and RG rules are state-set; no federal online framework.** UIGEA (2006) governs payment processing for unlawful online gambling; licensed operators rely on ACH/online banking, debit, PayPal/Venmo-type wallets and prepaid cards, with several states barring credit-card funding and mandating deposit/time limits, self-exclusion and 21+ KYC [specific state rules not re-verified this cycle]. No numeric payments or RG statistics are disclosed in the AGA release (n/a).
- **Read-through for B2Tech.** The US is a 38-jurisdiction patchwork with the highest absolute online revenue pool in the world but (a) a tax ratchet, (b) a CAC-heavy duopoly, (c) a federally-sheltered untaxed competitor and (d) stalled iGaming expansion. The asymmetric opportunity is B2B/platform supply into iGaming states and into any post-SCOTUS/Cruz re-fencing of sports betting, rather than a B2C sportsbook entry at today's economics.

## 2 MARKET SUMMARY

| US COMMERCIAL GAMING — $M (AGA TRACKER; DERIVED FIGURES FLAGGED) | AUG-26 | YOY | JUL-26 | MOM | YTD JAN–AUG 26 | YTD YOY |
|---|---|---|---|---|---|---|
| **GROSS GAMING REVENUE** | | | | | | |
| **Total commercial GGR** *Jul-26 total derived as sum of AGA vertical figures (4,480+1,270+1,010). | **6,480** | **-0.6%** | **~6,760*** | **~-4.1%*** | **53,840** | **+5.4%** |
| Traditional casino (retail slots + tables) *YTD traditional derived as residual of AGA YTD total less sports betting and iGaming. | 4,440 | +0.9% | 4,480 | -0.9% | ~35,280* | ~+3%* |
| of which slot machines | 3,250 | +1.0% | 3,250 | flat | n/a | n/a |
| of which table games | 885.9 | +2.1% | n/a | n/a | n/a | n/a |
| Sports betting GGR (retail + online) | 1,000 | -15.6% | 1,270 | -21.3% | 10,450 | +4.0% |
| Sports betting handle (stakes) | 10,890 | -0.7% | 11,600 | -6.1% | n/a | n/a |
| National hold (GGR / handle) *Derived 1,270/11,600. | 9.2% | -160bp (10.8%) | ~10.9%* | -170bp | n/a | n/a |
| iGaming GGR (7 states) | 1,030 | +12.3% | 1,010 | +2.0% | 8,110 | +17.4% |
| **CHANNEL MIX** | | | | | | |
| Online-exposed share of GGR (iGaming + all sports betting)* *Derived; sports betting was 96.5% online in CY2025 (AGA). AGA CY2025 online share 34.5% vs 30% in 2024. | 31.3% | n/a | 33.7% | n/a | 34.5% | n/a |
| **TAX** | | | | | | |
| State gaming tax collected (AGA-compiled, all verticals) | 1,460 | -1.5% | 1,420 | +2.8% | n/a | n/a |
| of which sports betting tax | n/a | -14.0% | n/a | n/a | n/a | n/a |
| Implied blended tax / GGR* *Derived; mixes casino, OSB and iGaming bases. Tax base is GGR/AGR in all states; Illinois adds a per-wager levy; federal excise 0.25% of handle not included. | 22.5% | n/a | 21.0% | n/a | n/a | n/a |
| OSB tax rate range (state, on GGR) | 6.75% (NV, IA) – 51% (NY) | | | | | |
| AGA est. state tax foregone to prediction markets (cumulative since Jan-25) | 1,560 | vs ~500 at Feb-26 | | | | |
| **STRUCTURE** | | | | | | |
| Commercial gaming jurisdictions (casino and/or sports betting) | 38 | | | | | |
| Commercial casino locations / states | 493 / 27 | | | | | |
| iGaming states live | 7 (+ Maine pending) | | | | | |
| Prediction-market notional volume (Kalshi + Polymarket, all categories) The Block data; not comparable to handle (two-sided notional). Kalshi alone 37,170 in Aug-26. | 45,330 | n/a | 50,590 | -14.5% | n/a | n/a |
| **FULL-YEAR REFERENCE (CY2025)** | | | | | | |
| CY2025 commercial GGR / growth | 78,720 | +9.2% | | | | |
| CY2025 sports betting GGR / handle / hold | 16,960 / 166,940 / 10.16% | +22.8% / +11.0% / +98bp | | | | |
| CY2025 iGaming GGR | 10,740 | +27.6% | | | | |
| CY2025 direct gaming taxes Two AGA publications disagree; gap unreconciled. | 17,860 (SoS 2026) / 18,090 (tracker) | +12.3% / +15.1% | | | | |

## 3 DEEP-DIVE — SPORTS BETTING (ONLINE + RETAIL)

**Revenue -15.6% on a 160bp hold miss and structurally soft handle; prediction markets and a late college-football start cited by the AGA; NY, NJ, PA and MI regulator data all confirm the slide.**

### AUGUST NATIONAL GGR

**Sportsbook GGR fell 15.6% to $1.00bn from an implied $1.185bn, almost entirely a hold miss: 9.2% versus 10.8%.**

- Handle slipped only 0.7% to $10.89bn; month-on-month GGR fell 21.3% and handle 6.1%.
- Outside June and July (World Cup; July handle +31.9% to $11.60bn, GGR +27.0% to $1.27bn), handle has declined YoY every month since December 2025.
- August is the first 'clean' post-tournament month and a better guide to underlying trend than the summer prints.
- Year-to-date GGR still up 4.0% at $10.45bn, but the cushion was built in Q1 (favourable hold) and the World Cup.

### AGA ATTRIBUTION

**The AGA blames prediction-market event contracts (structural, large) and a later college-football start (one-off, reverses in September).**

- AGA regards CFTC-registered prediction-market sports contracts as 'illegal sports betting' paying no state gaming tax.
- Kalshi notional volume was $37.17bn in August (about 82% of the sector), with sports around 83% of its July volume.
- Even allowing for two-sided counting and market-maker churn, the product absorbs a meaningful slice of US event-betting demand without state licence, tax or RG obligations.

STATE REGULATOR DATA

**NY, NJ, PA and MI confirm a national margin squeeze rather than a collapse in activity.**

- New York mobile handle $1.73bn (-15.2% YoY, Aug-25 base inflated by a single Fanatics customer); GGR $168.5m (-5.4%) at 9.7% hold.
- DraftKings led NY handle for a second month ($614.0m, 9.2% hold, $56.3m GGR); FanDuel took most revenue ($599.6m handle, 10.7% hold, $64.0m GGR; hold down from 11.9%).
- Fanatics ($213.2m), BetMGM (~$120m, 10.5%) and Caesars ($112.4m, 9.1%) followed; BetRivers, theScore Bet and Bally Bet are sub-scale.
- New Jersey sports revenue fell 25.0% to $61.4m (online $59.7m, -24.6%; YTD $671.4m, -5.3%), attributed to later fall calendar and lower win percentage.
- Pennsylvania sports revenue fell 19.9% to $39.4m; Michigan adjusted gross receipts fell 29.3% on handle -2.5%.

TAX COST BASE

**Rising tax rates mean a 51% New York operator retains roughly 4.5c per $1 wagered at 9.2% hold; only the two scale leaders run that profitably.**

- Online GGR tax ranges from 6.75% (Nevada, Iowa) to 51% (New York).
- Illinois applies a 20–40% graduated rate plus $0.25/$0.50 per-wager surcharge; repeal bill HB 5143 filed February 2026.
- New Jersey moved to 19.75% from 13% (1 Jul 2025); Louisiana 21.5% online/10% retail; Maryland 20% online/15% retail; Ohio stayed at 20% after a 40% proposal failed.
- The 0.25% federal excise on handle and $50 per-employee head tax sit on top.

ENTRANT IMPLICATIONS

**B2C entry buys into a duopoly, a tax ratchet and an untaxed competitor; B2B pricing/risk, trading or platform supply is better-risked exposure.**

- Regulated handle pool no longer grows organically: 2025 growth (+11.0% to $166.94bn) came from new states (Missouri, December 2025; only one new state to July 2026) and tournaments.
- Hold is normalising after the 2025 parlay-driven record (10.16%), so revenue forecasts built on 10%+ holds are at risk.
- Competitive perimeter is undefined until the Supreme Court or Congress rules on event contracts.
- Optionality on a re-fenced market exists if the Cruz bill or a Ninth-Circuit-style SCOTUS outcome prevails.

| SPORTS BETTING — $M | AUG-26 | YOY | JUL-26 | MOM | YTD-26 | YTD YOY |
|---|---|---|---|---|---|---|
| **NATIONAL (AGA, 38 JURISDICTIONS)** | | | | | | |
| **Sports betting GGR** | **1,000** | **-15.6%** | **1,270** | **-21.3%** | **10,450** | **+4.0%** |
| Handle | 10,890 | -0.7% | 11,600 | -6.1% | n/a | n/a |
| Hold | 9.2% | -160bp | ~10.9% | -170bp | n/a | n/a |
| Implied Aug-25 GGR / handle* *Derived from AGA growth rates. | 1,185 / 10,970 | | | | | |
| State sports betting tax | n/a | -14.0% | n/a | n/a | n/a | n/a |
| Online share of SB GGR (CY2025) | 96.5% | | | | | |
| **NEW YORK (NYSGC, MOBILE, 51% GGR TAX)** | | | | | | |
| Mobile handle | 1,730 | -15.2% | n/a | n/a | 10,200 (FY Apr–Aug) | n/a |
| Mobile GGR / hold | 168.5 / 9.7% | -5.4% | n/a | n/a | 947.9 (FY Apr–Aug) | n/a |
| DraftKings handle / GGR / hold | 614.0 / 56.3 / 9.2% | n/a | | | | |
| FanDuel handle / GGR / hold | 599.6 / 64.0 / 10.7% | hold -120bp | | | | |
| Fanatics handle / GGR | 213.2 / 18.8 | handle -60% ex-whale | | | | |
| BetMGM / Caesars handle | ~120 / 112.4 | n/a | | | | |
| **NEW JERSEY (DGE)** | | | | | | |
| Sports wagering gross revenue | 61.4 | -25.0% | n/a | n/a | 671.4 | -5.3% |
| of which online sportsbook | 59.7 | -24.6% | | | | |
| **PENNSYLVANIA (PGCB)** | | | | | | |
| Sports wagering revenue | 39.4 | -19.9% | 51.8 | -24% | n/a | FY25/26: 662.9 (+36.0%) |
| **MICHIGAN (MGCB, VIA TRADE PRESS)** | | | | | | |
| Handle / adjusted gross receipts | n/a | -2.5% / -29.3% | | | | |
| **COMPETITIVE LEAKAGE** | | | | | | |
| Kalshi notional volume (all categories) | 37,170 | n/a | 40,100 | -7.3% | | |
| Kalshi + Polymarket (incl. US) volume | 45,330 | n/a | 50,590 | -14.5% | | |

## 4 DEEP-DIVE — IGAMING (ONLINE CASINO)

**+12.3% to $1.03bn — now a larger monthly pool than sports betting, but decelerating with seven states and no 2026 launches; NJ slowed to +4.4%, PA to ~+6%.**

NATIONAL GROWTH

**iGaming GGR rose 12.3% to $1.03bn in August 2026 (+2.0% MoM), overtaking sportsbook revenue for the month but decelerating.**

- Year-to-date GGR $8.11bn (+17.4%), after $10.74bn (+27.6%) in CY2025 when December became the first $1bn+ month.
- Growth stepped down from +27.6% (2025) to +15.7% (July) to +12.3% (August); AGA frames it as 'natural maturation'.
- State footprint unchanged since Rhode Island (2024); Michigan, New Jersey and Pennsylvania are roughly 90% of the total and exceed brick-and-mortar casino revenue there.

STATE PRINTS

**Deceleration is broad: New Jersey slowed to +4.4% and Pennsylvania to roughly +6%.**

- New Jersey internet gaming win +4.4% to $259.3m, lowest since February and below Atlantic City land-based win for a second month; YTD +13.2% at $2.13bn.
- Pennsylvania August iGaming about $245.7m (slots $195.2m +8.8%, tables $48.1m -2.6%, poker $2.4m -5.2%), after $249.0m (+9.1%) in July.
- Pennsylvania FY2025/26 iGaming revenue $2.93bn (+18.4%) carrying $1.34bn of tax (~45.6% effective).
- Michigan iGaming grew 32% in 2025, strongest of the big three; August state data not captured [n/a].

TAX AND LICENSING

**iGaming is taxed on GGR from 19.75% (New Jersey) to above 50% effective in some racino-style states, with licences tethered to land-based assets.**

- New Jersey raised from 15% to 19.75% on 1 Jul 2025; Pennsylvania split rate (slots far higher than tables, ~46% blended).
- Licences tied to land-based casinos or tribal compacts with limited skins; every content and PAM vendor needs platform/supplier licensing.
- Payments overwhelmingly ACH/online banking, debit and wallets; credit-card funding barred in several states.
- State-mandated RG: deposit/time limits, self-exclusion, 21+ KYC, geolocation [individual state rules not re-verified this cycle].

POLICY CONSTRAINT

**No state legalised iGaming in 2025 or 2026; it is the best-risk US vertical but growth is now low-double-digit, not 25%+.**

- Maryland, New York and Illinois bills stalled despite budget pressure; Maine is the only authorised-but-unlaunched market (AGA expected late 2026; rulemaking delays).
- Enforcement against sweepstakes casinos and skill machines protects licensed iGaming in existing states but opens no new ones.
- Entry requires partnership with a land-based licence holder in seven states.

| IGAMING — $M | AUG-26 | YOY | JUL-26 | MOM | YTD-26 | YTD YOY |
|---|---|---|---|---|---|---|
| **NATIONAL (AGA, 7 STATES)** | | | | | | |
| **iGaming GGR** | **1,030** | **+12.3%** | **1,010** | **+2.0%** | **8,110** | **+17.4%** |
| Implied Aug-25 GGR* *Derived. | 917 | | | | | |
| CY2025 GGR / growth | 10,740 | +27.6% | | | | |
| Dec-25 GGR (first $1bn+ month) | 1,030 | +22.4% | | | | |
| MI + NJ + PA share of national (CY2025) | ~90% | | | | | |
| **NEW JERSEY (DGE)** | | | | | | |
| Internet gaming win | 259.3 | +4.4% | n/a | n/a | 2,129.5 | +13.2% |
| Tax rate on iGaming GGR | 19.75% (from 15%, 1 Jul 2025) | | | | | |
| **PENNSYLVANIA (PGCB)** | | | | | | |
| iGaming slots | 195.2 | +8.8% | n/a | n/a | n/a | n/a |
| iGaming tables | 48.1 | -2.6% | 47.4 | +1.5% | n/a | n/a |
| iGaming poker | 2.4 | -5.2% | n/a | n/a | n/a | n/a |
| Total iGaming (derived) | 245.7 | +6.2% | 249.0 | -1.3% | n/a | FY25/26: 2,933 (+18.4%) |
| iGaming tax, FY25/26 / effective rate | 1,337 / ~45.6% | | | | | |
| **PIPELINE** | | | | | | |
| Authorised, not launched | Maine (expected late 2026; delay risk) | | | | | |

## 5 DEEP-DIVE — TRADITIONAL CASINO (RETAIL SLOTS & TABLES)

**+0.9% to $4.44bn: stable but bifurcated — Nevada +3.1% on regional and baccarat strength while the Strip is flat and Vegas visitation falls; NJ and PA retail soft; RWNYC expansion lifting tables.**

NATIONAL RETAIL GGR

**Land-based slot and table GGR rose 0.9% to $4.44bn in August 2026 (-0.9% MoM), stable but bifurcated.**

- Slots $3.25bn (+1.0%); tables $885.9m (+2.1%); AGA notes slot revenue 'uneven across states'.
- Table growth partly credited to Resorts World New York City's expansion to full-scale casino operations, highest-grossing property outside Nevada for three years.
- Year-to-date traditional GGR roughly $35.3bn, about +3% (derived), versus +2.3% to $50.94bn in CY2025 across 493 casinos in 27 states.
- Casino admissions in five reporting states rose 5.3% in 2025.

NEVADA

**Nevada win rose 3.14% to $1,266.1m, the 66th consecutive month above $1bn, but the Strip was flat and visitation fell 4.3%.**

- Clark County $1,062.2m (+2.8%); Las Vegas Strip $684.1m (+0.70%); downtown -3.0%.
- Growth from Boulder Strip (+17.4%), Washoe/Reno (+10.4%), Laughlin, statewide slots ($865.7m, +6.1%) and Strip baccarat ($155m, +34.1%).
- LVCVA counted 3.0m visitors (-4.3%); Strip win held up by high-end table volatility and slot yield, not footfall; MGM Q3 Strip EBITDA fell 12%.
- Nevada's 6.75% top marginal gaming tax remains the lowest-cost regime in the country.

OTHER STATES

**Pennsylvania and New Jersey retail were soft; the retail market is mature, growing low-single digits nominally.**

- Pennsylvania retail slots -1.3% to $213.9m (24,520 machines), retail tables -18.1% to $66.4m; total PA gaming revenue $569.7m (-2.2%) with $249m tax.
- New Jersey total gaming revenue -4.1% to $615.7m; Atlantic City land-based outpaced iGaming only because iGaming slowed.
- Detroit casinos reported July AGR of $112.6m (+5.3%).
- Regional and new-build supply (Virginia, Nebraska, Illinois, New York downstate licences) are the only step-change sources.

B2TECH RELEVANCE

**Retail casino matters mainly as the licensing anchor; nearly every US online skin hangs off a land-based, racetrack or tribal licence.**

- Land-based incumbents control market access, making market-access fees and revenue shares a structural cost of US online entry.
- With slots at ~73% of GGR, retail is a supplier and systems business (cabinets, CMS, cashless/payments), not a new-entrant operator opportunity.

| TRADITIONAL CASINO — $M | AUG-26 | YOY | JUL-26 | MOM | YTD-26 | YTD YOY |
|---|---|---|---|---|---|---|
| **NATIONAL (AGA)** | | | | | | |
| **Traditional casino GGR** *Derived residual. | **4,440** | **+0.9%** | **4,480** | **-0.9%** | **~35,280*** | **~+3%*** |
| Slot machines | 3,250 | +1.0% | 3,250 | flat | n/a | CY25: 37,120 (+2.9%) |
| Table games | 885.9 | +2.1% | n/a | n/a | n/a | CY25: 10,070 (-0.7%) |
| Commercial casino locations / states | 493 / 27 | | | | | |
| **NEVADA (NGCB, NONRESTRICTED LICENSEES)** | | | | | | |
| Statewide gaming win | 1,266.1 | +3.14% | n/a | n/a | CY +3.0%; FY(Jul–Aug) +2.58% | |
| Las Vegas Strip | 684.1 | +0.70% | | | | |
| Clark County | 1,062.2 | +2.80% | | | | |
| Downtown Las Vegas | 61.5 | -2.96% | | | | |
| Boulder Strip / Washoe County | n/a | +17.4% / +10.4% | | | | |
| Statewide slot win | 865.7 | +6.1% | | | | |
| Strip baccarat win | 155.0 | +34.1% | | | | |
| Las Vegas visitors (LVCVA, m) | 3.0 | -4.3% | | | | |
| **PENNSYLVANIA (PGCB)** | | | | | | |
| Retail slots / machines in operation | 213.9 / 24,520 | -1.26% | n/a | n/a | | |
| Retail tables | 66.4 | -18.1% | 72.4 | -8.3% | | |
| Total PA gaming revenue / tax | 569.7 / 249.0 | -2.16% | 591.1 / 256.8 | -3.6% | | FY25/26 total 7,006 (record) |
| **NEW JERSEY (DGE)** | | | | | | |
| Total gaming revenue (casino + iGaming + sports) | 615.7 | -4.1% | n/a | n/a | 4,811.3 | +5.4% |

## 6 DEEP-DIVE — LICENSING & TAX REGIME

**State-by-state GGR taxation with a 2025–26 ratchet (NJ, IL, LA, MD), New York's 51% ceiling, a new federal 90% loss-deduction cap on players, and licences tethered to land-based assets.**

REGULATORY STRUCTURE

**No federal regulator or licence: 38 jurisdictions set their own regimes, with licences tethered to land-based assets and every supplier separately licensed.**

- Since Murphy v. NCAA (2018) struck down PASPA, each state plus DC legislates sports betting; state commissions (NJ DGE/CCC, PGCB, NYSGC, NGCB, MGCB) govern casino and iGaming.
- Tribal gaming governed federally under IGRA via compacts and the NIGC.
- 493 commercial casino locations in 27 states; seven states permit iGaming.
- Licences anchored to casino, racetrack or tribal partner with limited skins, or capped standalone mobile licences (New York model); fees and renewals state-specific [not re-verified this cycle].

TAX RATES

**Tax is on GGR, with online sports rates from 6.75% to 51% and a 2025 ratchet in NJ, LA and MD; 2025 tax take $17.86bn (+12.3%).**

- Exceptions: federal excise 0.25% of handle plus $50 per employee; Illinois $0.25/$0.50 per-wager surcharge on top of a 20–40% graduated rate.
- 51% applies in New York, New Hampshire, Rhode Island; New Jersey to 19.75% (from 13%/15%), Louisiana 21.5% online (from 15%), Maryland 20% online (from 15%); Ohio doubled to 20% in 2023.
- Casino GGR taxes range from Nevada's 6.75% top rate to above 50% effective in racino states; Pennsylvania iGaming ~45.6% effective in FY2025/26.
- Feb-2026 tracker cited $18.09bn (+15.1%) for 2025 — difference unreconciled. August 2026 collections $1.46bn (-1.5%), sports betting tax -14.0%.

PLAYER TAXATION

**From 1 January 2026 gambling losses are deductible only up to 90%, creating 'phantom' income and raising the all-in cost of regulated betting.**

- One Big Beautiful Bill Act (signed 4 Jul 2025) amended IRC §165(d); losses still capped at winnings.
- FAIR BET Act to restore 100% deductibility blocked in the House.
- Illinois per-bet levy passed through as customer surcharges by DraftKings and FanDuel, just as untaxed event contracts scale — a point the AGA makes forcefully.

DIRECTION OF TRAVEL

**Expect more OSB/iGaming tax proposals in 2027 sessions; model a blended ~20–25% of GGR for OSB outside NY/IL and 15–50% for iGaming.**

- Regulator consensus (NCLGS, Louisiana GCB): hikes beyond ~20–25% push volume to grey channels.
- More states likely to restrict promotional deductions and add per-wager or 'integrity' levies rather than headline rate moves.
- iGaming legalisation remains the big unrealised state revenue lever, but 2025–26 produced no new state.
- Add market-access fees, 0.25% excise and licensing/compliance overhead in every state.

| TAX & LICENSING — SELECTED PARAMETERS (TAX BASE = GGR/AGR UNLESS STATED) | RATE / VALUE | BASE | EFFECTIVE FROM | NOTE |
|---|---|---|---|---|
| **ONLINE SPORTS BETTING** | | | | |
| New York (9 mobile licences; 8 live) | 51% | GGR | 2022 | Highest major market; $168.5m GGR Aug-26 |
| Illinois | 20–40% graduated + $0.25/$0.50 per wager | GGR + per-bet | Jul 2024 / Jul 2025 | HB 5143 (Feb 2026) proposes repeal of per-wager levy |
| New Jersey | 19.75% | GGR (online); retail lower | 1 Jul 2025 | Up from 13%; iGaming also to 19.75% (from 15%) |
| Louisiana | 21.5% online / 10% retail | GGR | 2025 | Up from 15%; 50% initially proposed |
| Maryland | 20% online / 15% retail | GGR | 1 Jul 2025 | Up from 15%; 32% initially proposed |
| Ohio | 20% | GGR | 2023 | 40% proposal rejected 2025 |
| Nevada / Iowa | 6.75% | GGR | — | Lowest in US |
| Federal excise (all states) | 0.25% + $50/employee | Handle | — | Excluded from AGA state tax totals |
| **IGAMING** | | | | |
| New Jersey | 19.75% | GGR | 1 Jul 2025 | Was 15% |
| Pennsylvania (blended, derived) | ~45.6% | GGR | — | $1,337m tax on $2,933m FY25/26 revenue |
| States live / pending | 7 / Maine | — | — | NJ, PA, MI, CT, WV, DE, RI |
| **CASINO** | | | | |
| Nevada top marginal rate | 6.75% | Win | — | Plus county/levies |
| Commercial casino locations / states | 493 / 27 | — | CY2025 | AGA State of the States 2026 |
| **AGGREGATE** | | | | |
| State gaming taxes, CY2025 | $17,860m (+12.3%) / $18,090m (+15.1%) | All verticals | — | Two AGA figures; unreconciled |
| State gaming taxes, Aug-26 | $1,460m (-1.5%) | All verticals | — | Sports betting tax -14.0% |
| Player loss deduction (federal) | 90% of losses (cap: winnings) | Income tax | Tax year 2026 | OBBBA §165(d); FAIR BET Act stalled |

## 7 DEEP-DIVE — PREDICTION MARKETS, GREY CHANNELS & ENFORCEMENT

**The defining regulatory fight: a 3rd/9th Circuit split on whether sports event contracts are CFTC-only 'swaps' or state-regulated gambling, cert petitions pending, a post-midterm Cruz bill, and $45bn of monthly untaxed volume.**

TAX LEAKAGE CLAIMS

**AGA's estimate of state tax foregone to event contracts rose from roughly $0.5bn to more than $1.56bn, implying ~$1bn in eight months.**

- AGA frames skill machines, sweepstakes casinos and prediction markets as why tax collections 'could have been significantly higher'.
- An advocacy figure, not a regulator statistic, but directionally consistent with sportsbook tax receipts falling 14% in August.

VOLUME DATA

**Combined prediction-market volume of $45.33bn is roughly four times the $10.89bn regulated handle, though notional double-counts both sides.**

- Kalshi $37.17bn in August 2026 (down 7.3% from $40.1bn in July), sports around 83% of July activity; Polymarket and US venue $8.16bn (-36.7% MoM).
- First monthly decline since August 2025, mirroring the regulated post-World-Cup drop; notional includes high-frequency and arbitrage flow, overstating consumer stake.
- Asymmetries: brokerage distribution (Robinhood, Crypto.com) and no state licensing, 21+ KYC parity, RG tooling or state tax.

COURT SPLIT

**The Third and Ninth Circuits have split on whether sports event contracts are CFTC-only swaps; cert petitions are pending with no grant yet.**

- 6 April 2026: Third Circuit (KalshiEX LLC v. Flaherty, 2–1) barred New Jersey enforcement, finding contracts likely 'swaps' with exclusive CFTC jurisdiction; dissent called them 'virtually indistinguishable' from sportsbook bets.
- 28 August 2026: Ninth Circuit ruled 3–0 the other way, refusing to enjoin the Nevada Gaming Control Board against Kalshi and Crypto.com.
- New Jersey, Robinhood and (reportedly) Crypto.com's exchange petitioned the Supreme Court between 2 and 11 September.
- CFTC event-contract rulemaking (comments closed 30 April 2026) pending; tribes have joined states as plaintiffs.

CONGRESS AND ENFORCEMENT

**Senator Cruz plans a post-midterm bill re-fencing sports event contracts to the 38 legal jurisdictions, excluding Texas and other non-legal states.**

- Bill would bar event contracts tied to gambling unless authorised by the relevant state or tribal government; introduction after the 3 November midterms.
- AGA testified before the House Agriculture Committee (CFTC oversight) on 21 July 2026.
- Sweepstakes-casino front further advanced: multiple state prohibitions in 2025–26 and escalated attorney-general enforcement [state list not re-verified].

OPERATOR IMPLICATIONS

**This binary is the single largest driver of 2027 US sportsbook value and should gate any B2C commitment.**

- If SCOTUS sides with the Ninth Circuit or the Cruz bill passes, regulated handle should recover meaningfully in 2027 and state licence value rises.
- If the Third Circuit view prevails, the US gains a federally-licensed, untaxed national sports-betting channel and state OSB economics deteriorate further.
- In that world the rational play is DCM/FCM exposure or B2B supply to prediction venues rather than more state skins.

| PREDICTION MARKETS & ENFORCEMENT — TIMELINE AND METRICS | DATE | EVENT / METRIC | VALUE / OUTCOME | IMPLICATION |
|---|---|---|---|---|
| **LITIGATION** | | | | |
| Third Circuit, KalshiEX v. Flaherty (NJ) | 6 Apr 2026 | Preliminary injunction affirmed 2–1 | Sports contracts likely 'swaps'; CEA pre-empts NJ gambling law | Pro-federal; PI stage only |
| CFTC event-contract rulemaking | Comments closed 30 Apr 2026 | Final rule pending | n/a | Could codify or restrict sports contracts |
| Ninth Circuit (Nevada GCB v. Kalshi, Crypto.com) | 28 Aug 2026 | Injunction denied 3–0 | Sports contracts not swaps; state law applies | Pro-state; creates circuit split |
| Cert petitions to SCOTUS | 2–11 Sep 2026 | NJ, Robinhood, reportedly Crypto.com | Not yet granted | Decision on cert likely late 2026 / early 2027 |
| **LEGISLATION** | | | | |
| Cruz bill (Senate Commerce) | After 3 Nov 2026 | Bar gambling-linked event contracts absent state/tribal authorisation | Draft reported by Bloomberg Law 16 Oct 2026 | Would re-fence OSB to legal states |
| AGA testimony, House Agriculture Cttee | 21 Jul 2026 | CFTC oversight hearing | n/a | Industry pushing for state primacy |
| **MARKET METRICS ($M)** | | | | |
| Kalshi notional volume | Aug-26 | 37,170 | -7.3% MoM (Jul 40,100) | ~82% of sector |
| Polymarket + Polymarket US volume | Aug-26 | 8,160 | -36.7% MoM (Jul 12,890) | |
| Combined volume | Aug-26 | 45,330 | -14.5% MoM; first fall since Aug-25 | Jul record 50,590; May 25,660 |
| Sports share of Kalshi volume | Jul-26 | ~83% | n/a | Sports is the product |
| Regulated sports handle (comparator) | Aug-26 | 10,890 | -0.7% YoY | Not like-for-like with notional volume |
| AGA est. state tax foregone, cumulative | Oct-26 | 1,560 | vs ~500 at Feb-26 | Advocacy estimate |

## 8 DEEP-DIVE — MARKET STRUCTURE, PAYMENTS & RESPONSIBLE GAMBLING

**A 38-jurisdiction patchwork anchored on land-based licences; payments via ACH/debit/wallets under UIGEA with state-level credit-card limits; RG and advertising rules set state-by-state — no national figures disclosed.**

MARKET STRUCTURE

**A 38-jurisdiction patchwork anchored on land-based licences lets incumbents extract market-access fees and revenue shares from entrants.**

- 493 commercial casino locations in 27 states, seven iGaming states; sports-betting footprint grew by one state (Missouri, December 2025) to mid-2026.
- Largest 2025 online markets: New York, Illinois, New Jersey and Ohio for sports; Michigan, New Jersey and Pennsylvania for iGaming (~90% of total).
- New York has eight live mobile operators; FanDuel and DraftKings traded places on handle in July and August 2026, with Fanatics, BetMGM and Caesars a distant second tier.
- National share figures not disclosed in this release [unverified].

PAYMENTS

**UIGEA (2006) drives state-specific merchant codes and geolocation; deposits are ACH, debit and wallets, with credit cards barred in several states.**

- Prepaid Play+ cards and cash-at-cage also used; several legislatures debated credit-card bans in 2025–26 [state detail not re-verified].
- Mobile money irrelevant; card-network coding and bank acceptance are the practical frictions, and processing costs are material in a 51%-tax state.
- No payments statistics published in the AGA release (n/a).

RESPONSIBLE GAMBLING

**RG and advertising rules are state-set and uneven; prediction-market and sweepstakes channels operate outside them.**

- 21+ identity verification universal online; geolocation mandatory; most states require deposit/time/loss limits, self-exclusion registers and problem-gambling funding.
- New York, Ohio and Massachusetts restricted 'risk-free'/'free bet' language and college-targeted marketing; AGA Responsible Marketing Code governs national advertising [state texts not re-verified].
- Federal advertising legislation (SAFE Bet Act-type) has not advanced.
- Untaxed channels' exemption is both the AGA's consumer-protection argument and a competitive asymmetry.

COMMERCIAL READ-THROUGH

**A national footprint needs 30+ separate licences, rule books and tax filings, favouring scaled incumbents and B2B suppliers over new B2C entrants.**

- Compliance, payments and marketing costs are duplicated across every state.
- B2B suppliers (PAM, risk/trading, geolocation, payments, RG tooling) benefit; this is precisely the burden federally-sheltered prediction markets avoid.

| STRUCTURE — COUNTS AND REFERENCE METRICS | VALUE | PERIOD | SOURCE | NOTE |
|---|---|---|---|---|
| Commercial jurisdictions (casino and/or sports betting) | 38 | 31 Dec 2025 | AGA SoS 2026 | Includes DC |
| Commercial casino locations / states | 493 / 27 | CY2025 | AGA SoS 2026 | |
| iGaming states live / pending | 7 / 1 (Maine) | Aug-26 | AGA tracker | No launches in 2025–26 |
| New sports betting states launched Jul-25 to Jul-26 | 1 (Missouri, Dec-25) | | AGA CY2025 tracker; Track360 | |
| New York mobile operators live | 8 | Aug-26 | NYSGC | 9 licences authorised |
| Pennsylvania slot machines in operation | 24,520 | Aug-26 | PGCB | 24,332 in Aug-25 |
| Nevada consecutive $1bn+ months | 66 | Aug-26 | NGCB | |
| Las Vegas visitors | 3.0m (-4.3%) | Aug-26 | LVCVA via press | |
| Casino admissions, 5 reporting states | +5.3% | CY2025 | AGA CY2025 tracker | IA, IL, LA, MO, MS |
| Online share of commercial GGR | 34.5% (30% in 2024) | CY2025 | AGA CY2025 tracker | ~31% in Aug-26 (derived) |
| States where online > 50% of commercial GGR | 12 | CY2025 | AGA CY2025 tracker | |
| Payments / RG statistics | n/a | — | — | Not disclosed in release |

## 9 HIGHLIGHTS & LOWLIGHTS

### ▲ HIGHLIGHTS

- iGaming is the resilient vertical: +12.3% to $1.03bn in August (YTD $8.11bn, +17.4%) and now a larger monthly pool than sports betting, from only seven states; a partner-led iGaming entry (PAM/content/B2B) carries the best risk-adjusted economics in the US today. structural
- The sports betting weakness is mostly margin, not demand: handle -0.7% vs revenue -15.6%, with 160bp of hold compression. A normal NFL/college hold in September–December mechanically restores revenue — a timing, not structural, component of the August print. one-off
- Event-driven upside is real and quantified: the World Cup lifted July handle +31.9% to $11.60bn and GGR +27.0% to $1.27bn, proving regulated operators can still capture marquee-event demand despite prediction-market competition. one-off
- Leadership at the top is contestable: DraftKings out-handled FanDuel in New York for two consecutive months ($614.0m vs $599.6m) while FanDuel kept the revenue lead ($64.0m vs $56.3m) — share is moving, which creates openings for differentiated product or pricing partners. mixed
- A pro-state legal/legislative resolution is now plausible: the Ninth Circuit's 3–0 ruling for Nevada, cert petitions pending, and a post-midterm Cruz bill requiring state/tribal authorisation would re-fence sports betting and recover a share of the ~$45bn/month of untaxed notional volume for licensed operators. watch
- Enforcement against untaxed substitutes (sweepstakes casinos, skill machines) is intensifying, protecting licensed iGaming share in NJ/PA/MI and raising the value of holding a state licence. structural
- Regional land-based pockets are growing (Boulder Strip +17.4%, Reno/Washoe +10.4%, Resorts World NYC expansion, Virginia/Nebraska new supply) — relevant for systems, cashless and content suppliers even as the Strip stalls. structural

### ▼ LOWLIGHTS

- Regulated handle is structurally flat-to-down: the AGA confirms YoY declines in every non-World-Cup month since December 2025 while CFTC-registered prediction markets ran $37bn (Kalshi) of monthly notional volume with sports ~83% of activity — an untaxed, unlicensed national competitor that state regimes cannot currently reach in the Third Circuit. structural
- Federal pre-emption risk: if SCOTUS adopts the Third Circuit's 'swaps' reading, sports event contracts gain a durable federal shield, state sportsbook taxes and licence values fall, and B2C OSB economics in 20%+ tax states deteriorate further. watch
- Tax ratchet with no ceiling in sight: NJ to 19.75%, LA 21.5%, MD 20%, IL per-wager surcharge on top of 20–40%, NY at 51%; sportsbook tax receipts -14% in August will push more states to chase revenue in 2027 sessions precisely as margins compress. structural
- Player-side federal tax hit from 2026 (90% loss-deduction cap) penalises high-volume and professional bettors — the customers most able to migrate to prediction markets or offshore — with the FAIR BET fix stalled. structural
- iGaming expansion is stalled: no new state since Rhode Island (2024), Maine's launch has slipped, and 2025–26 legislative sessions failed in MD, NY and IL; growth is decelerating (+27.6% → +12.3%) and NJ slowed to +4.4% in August. structural
- Land-based softness in gateway markets: Las Vegas visitation -4.3%, Strip win +0.7% only on volatile baccarat, PA retail tables -18.1%, NJ total gaming revenue -4.1% — the licence-anchor partners that entrants depend on face their own margin pressure and will price market access accordingly. mixed
- Data caveats: the headline comes from a trade body (AGA) compiling state reports, with Oklahoma missing for July–August and two AGA publications disagreeing on 2025 tax ($17.86bn vs $18.09bn); the $1.56bn 'lost tax' figure is an advocacy estimate, not a regulator statistic. governance

## 10 FORECAST & OUTLOOK

**Guidance bridge.** The August print moves the 2026 trajectory from 'record year on autopilot' to 'low-to-mid single digit'. CY2025 commercial GGR was $78.72bn (+9.2%); January–August 2026 ran $53.84bn (+5.4%), but the mix has rotated: sports betting YTD growth has fallen to +4.0% and is likely to turn negative YoY for the full year as Q4 laps a 10.2%-hold 2025 and faces prediction-market leakage, while iGaming (+17.4% YTD) and traditional casino (~+3% YTD, derived) carry the total. The regulatory bridge is the Supreme Court cert decision and the Cruz bill: a pro-state outcome would re-fence handle in 2027; a pro-federal outcome would entrench an untaxed national competitor.

| CY2025 COMMERCIAL GGR (AGA) | JAN–AUG 2026 ACTUAL | SEP–DEC 2026 REQUIRED (EST.) | FY2026E COMMERCIAL GGR (OUR ESTIMATE) |
|---|---|---|---|
| **$78.72bn** | **$53.84bn** | **$27.6–29.0bn** | **$81.5–83.0bn** |
| +9.2% YoY | +5.4% YoY (SB +4.0%, iGaming +17.4%) | 0% to +5% vs Sep–Dec 2025 ($27.64bn) | +3.5% to +5.5% YoY |

**Independent view. Market:** we expect FY2026 commercial GGR of **$81.5–83.0bn (+3.5–5.5%)** [estimate], with sports betting GGR roughly **flat to -3%** for the year as hold normalises toward ~9.5% and handle stays negative ex-events, iGaming **+13–15%** (decelerating to high-single digits by mid-2027 absent new states), and traditional casino **+1–3%**. Online share rises to ~35–36% on mix. **Tax:** state gaming tax should still grow low-single digits in FY2026 on iGaming, but sportsbook tax will fall YoY, which we expect to trigger renewed OSB/iGaming tax proposals in at least a handful of 2027 sessions; expect promo-deduction caps and per-wager levies rather than 51%-style headline rates, and a possible Illinois per-wager repeal if volumes keep leaking. **Rules:** the base case is that the Supreme Court grants cert in the Kalshi cases with argument in 2027, keeping the status quo (state-by-state injunctions) through most of 2027; the Cruz bill has a credible path given bipartisan state/tribal support but faces a crowded lame-duck and a new Congress. **Leverage/operating economics:** at a 9–10% hold and 20–51% GGR tax, only the two scale leaders generate operating leverage in OSB; mid-tier operators will continue to exit or merge, and market-access fees will rise as land-based partners seek to offset flat retail. **Our stance for B2Tech:** do not commit B2C sportsbook capital ahead of the SCOTUS/Cruz binary; prioritise B2B supply into the seven iGaming states and position for either outcome of the event-contract fight (state-licensed OSB re-fencing, or DCM-adjacent supply).

**What to watch next quarter:**

- Supreme Court action on the New Jersey/Robinhood/Crypto.com cert petitions (conference calendar late 2026–early 2027) and any further district-court rulings in Maryland, Ohio, Arizona and tribal suits.
- Introduction and co-sponsor count of the Cruz prediction-market bill after 3 Nov 2026; CFTC final rule on event contracts.
- AGA September and October 2026 trackers (NFL/college full months): does handle return to YoY growth once the calendar effect reverses, and where does hold settle?
- Kalshi/Polymarket monthly volumes and sports share — a sustained decline would indicate saturation; growth into the NFL season would confirm structural leakage.
- 2027 state budget sessions (Jan–Jun): OSB/iGaming tax proposals in NJ, OH, MI, MA, IL (HB 5143 per-wager repeal), and any iGaming legalisation in NY, MD, IL, IN.
- Maine iGaming launch timing and rules; any eighth-state momentum.
- FAIR BET Act progress to restore 100% gambling-loss deductibility; IRS guidance on event-contract tax treatment.
- Las Vegas visitation and Strip win trend (LVCVA/NGCB) as a read on consumer discretionary spend and land-based partner health.
- Sweepstakes-casino enforcement actions and new state prohibitions; AG settlements as a signal of state appetite to police grey channels.

**DATA CONFIDENCE: MEDIUM** Headline August 2026 figures (GGR $6.48bn, sports betting $1.00bn/handle $10.89bn/hold 9.2%, iGaming $1.03bn, traditional $4.44bn, state tax $1.46bn, YTD $53.84bn) are HIGH confidence: confirmed on the AGA tracker page and in four independent write-ups, and directionally corroborated by NJ DGE, PGCB, NYSGC and NGCB August data. MEDIUM items: July 2026 total ($6.76bn) and YTD traditional casino (~$35.3bn, ~+3%) are derived from AGA vertical figures; CY2025 tax differs between AGA publications ($17.86bn vs $18.09bn) and is unreconciled; the $1.56bn tax-loss figure is an AGA advocacy estimate; prediction-market volumes are from The Block's dashboard (notional, not handle-equivalent). NOT re-verified this cycle and flagged in text: national operator market shares, the list of states with sweepstakes bans, Maine's launch date, specific state payment/credit-card and advertising rules, and licence fee schedules. Market reports in USD; no FX conversion required. AGA state-level August tables were not accessible (PDF not retrievable); Oklahoma July–August data were missing from the AGA release.

**Sources:** [Primary] AGA Commercial Gaming Revenue Tracker — August 2026 (released 21 Oct 2026; text read via indexed page and verbatim SoloAzar reproduction); [Primary] AGA Commercial Gaming Revenue Tracker — CY2025 full-year edition (PDF read in full); [Primary] AGA / VIXIO — State of the States 2026 (landing page and PDF excerpts); [Primary] New Jersey DGE — August 2026 Total Gaming Revenue Results (press release PDF, 16 Sep 2026); [Primary] New Jersey OAG/DGE — August 2026 results announcement; [Primary] Pennsylvania Gaming Control Board — Revenue for August 2026; [Primary] Pennsylvania Gaming Control Board — FY2025/26 revenue tops $7bn; [Primary] Pennsylvania Gaming Control Board — Revenue for July 2026; [Primary] New York State Gaming Commission — Monthly mobile sports wagering report, DraftKings (Aug-26); [Primary] New York State Gaming Commission — Weekly mobile sports wagering report, FanDuel (51% GGR tax note); [Primary] Michigan Gaming Control Board — Detroit casinos July 2026 revenue; [Secondary] Nevada Gaming Control Board August 2026 gaming win — as reported by FOX5 Las Vegas (30 Sep 2026); [Secondary] Nevada August 2026 gaming win detail (slots, baccarat, 66th $1bn month) — KLAS 8NewsNow; [Secondary] Nevada/LVCVA August 2026 win and visitation — Yogonet (1 Oct 2026); [Secondary] Yogonet — US commercial gaming revenue slips 0.6% in August (22 Oct 2026) [lead article]; [Secondary] SoloAzar — verbatim reproduction of AGA August 2026 tracker text (22 Oct 2026); [Secondary] RG.org — AGA August 2026 tracker incl. YTD figures and Oklahoma caveat (23 Oct 2026); [Secondary] Deadspin — AGA August 2026 release date (21 Oct) and Michigan August detail (23 Oct 2026); [Secondary] SoloAzar — AGA July 2026 tracker (verticals, tax $1.42bn); [Secondary] SiGMA World — AGA July 2026 tracker (traditional casino $4.48bn); [Secondary] Gambling Insider — AGA May 2026 tracker ($7.06bn record) and NIGC release (21 Jul 2026); [Secondary] Yogonet — New York August 2026 mobile sports wagering by operator (15 Sep 2026); [Secondary] Yahoo Sports — New York August 2026 handle/revenue (-15.2%/-5.4%); [Secondary] ROI-NJ — NJ DGE August 2026 commentary (iGaming vs land-based); [Secondary] The Block — Kalshi/Polymarket August 2026 volumes (2 Sep 2026); [Secondary] Datawallet — prediction market statistics (Kalshi sports share, visits); [Secondary] Holland & Knight — Third Circuit KalshiEX v. Flaherty analysis (Apr 2026); [Secondary] Skadden — Third Circuit affirms Kalshi preliminary injunction; [Secondary] CNBC — Ninth Circuit rules against prediction markets (28 Aug 2026); [Secondary] DeFi Rate — prediction market litigation tracker (cert petitions Sep 2026); [Secondary] Bloomberg Law — Cruz bill would allow state jurisdiction over prediction markets (16 Oct 2026); [Secondary] SBC Americas — Cruz bill detail (21 Oct 2026); [Secondary] Track360 — US sports betting legal states & tax tracker (Jul 2026); [Secondary] SBC Americas — 2025 online sports betting tax hikes (NJ, LA, MD, OH) (31 Dec 2025); [Secondary] iGaming Business — NCLGS lawmakers on 2026 tax hikes (Louisiana 15%→21.5%); [Secondary] Action Network — New Jersey raises online gambling and sports betting tax to 19.75%; [Secondary] Betting in United States — state sports betting tax revenue table; IL HB 5143 per-wager repeal note; [Secondary] Womble Bond Dickinson — OBBBA gambling loss deduction client alert (90% cap from 2026); [Secondary] Bookies.com — 2026 gambling deduction limit (Crapo provision, signed 4 Jul 2025).

*Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.*